

IBM Apptio Planning

Optimize, analyze, align

Level 2 client presentation

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IDC indicates that...

41%

...of CIOs surveyed said they have changed their cycle for revisiting IT budgets to at least every month¹

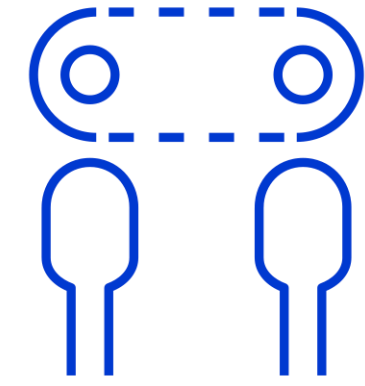
McKinsey indicates that...

43%

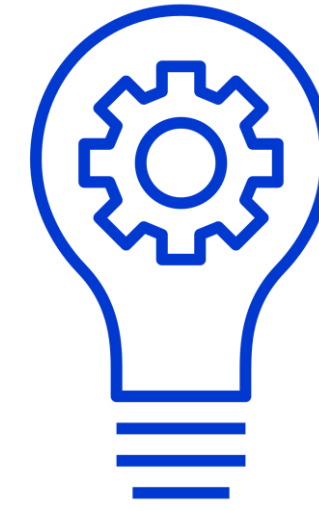
...of CFOs surveyed cite the need to streamline their overall budgeting processes to react more quickly and efficiently²

What is IT planning?

Strategic alignment fosters innovation, enhances decision-making, promotes adaptability to change, and facilitates collaboration between IT and other functions



The process of aligning IT's objectives and strategic goals to the overall business



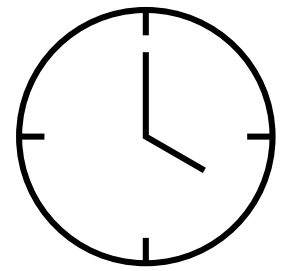
Facilitating innovation while delivering to reduce costs and drive strategic outcomes



Continuous IT budgeting, forecasting, and budget analysis

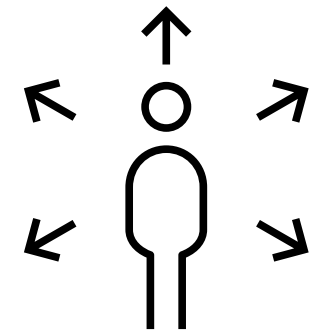
Challenges with traditional IT planning processes

Tedious & time-consuming



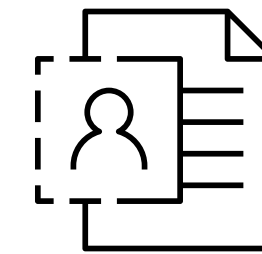
Error-prone and difficult to make quick adjustments or adapt a monthly rolling forecast cadence

Lack of precision



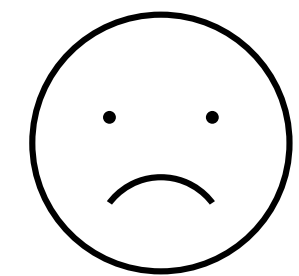
Rigid process and struggle to adapt quickly to changing business environments or shifts in organizational priorities

Lack of confidence



Struggle to maintain transparent and accurate financial data, resulting in a lack of real-time insights

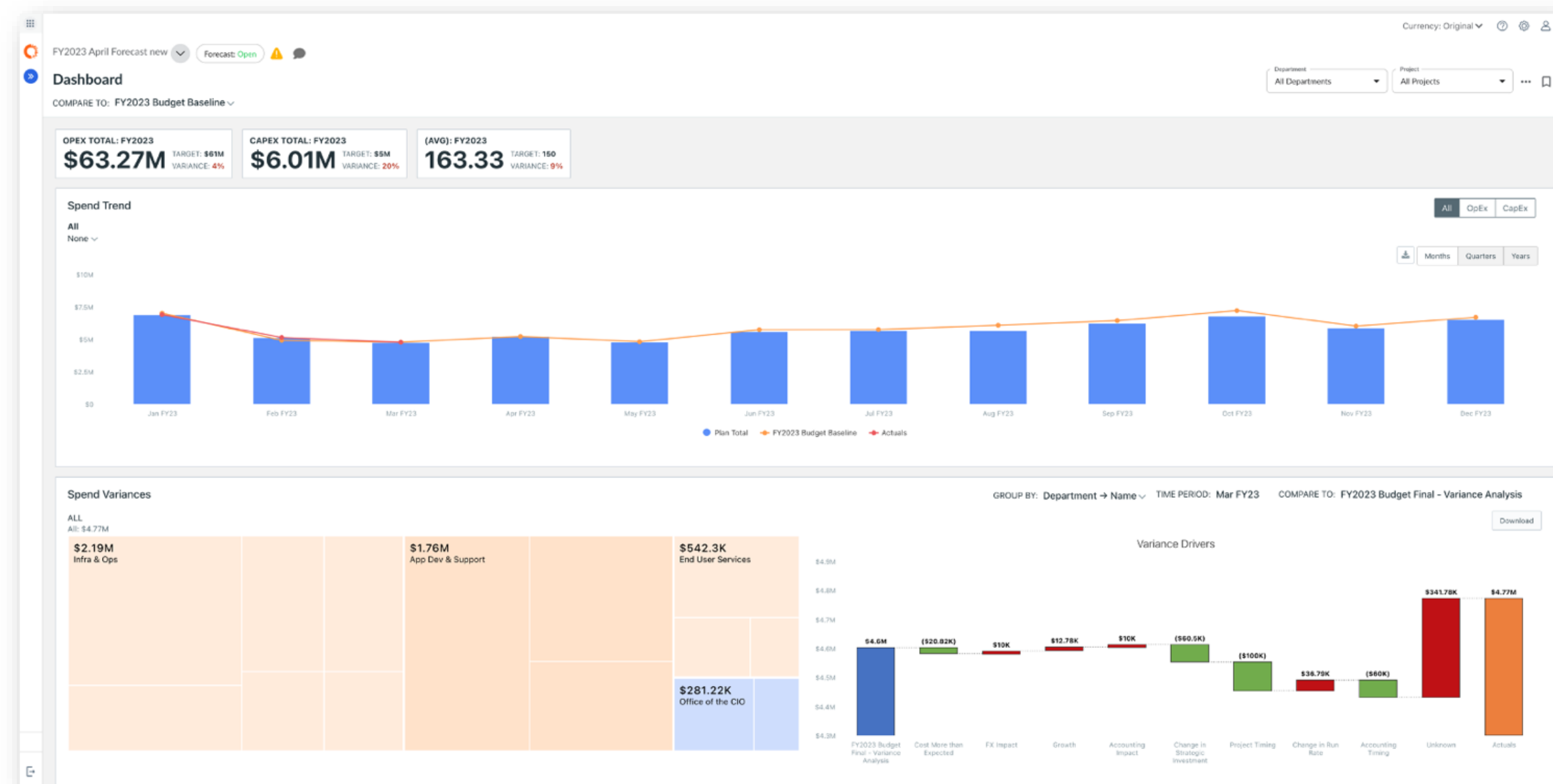
Not designed for IT



IT leaders are unable to quickly understand the true cost of delivering and supporting services, applications, and the composition (drivers) of those costs

Introducing IBM Apptio Planning Essentials

*A streamlined and single pane of glass approach to faster, **more effective IT financial planning**, enhancing accuracy and confidence in decision-making to identify opportunities to shift spend towards high-priority investments*



Accelerate budget planning & forecasting

Automate tasks and collaborate as a team to create budgets and forecasts faster

Optimize labor planning

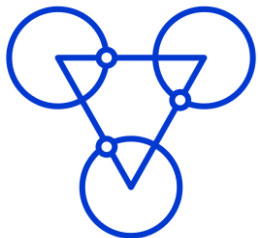
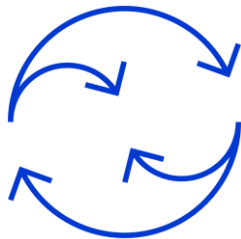
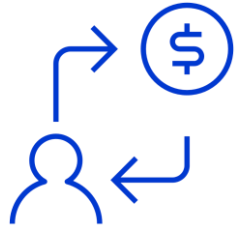
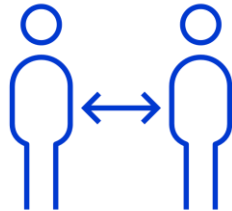
Align labor resources with business objectives by identifying gaps between budgeted headcount and actuals

Surface actionable insights

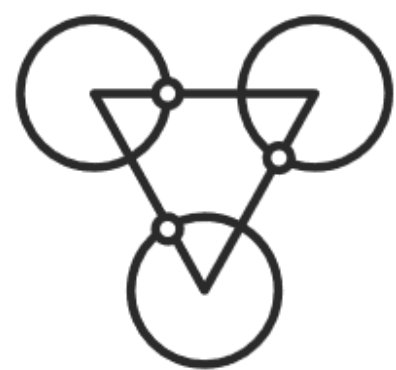
Run variance analysis to understand and address the reasons behind identified gaps, such as budget overspend, unplanned expenses, or project delays

IBM Apptio Planning Essentials

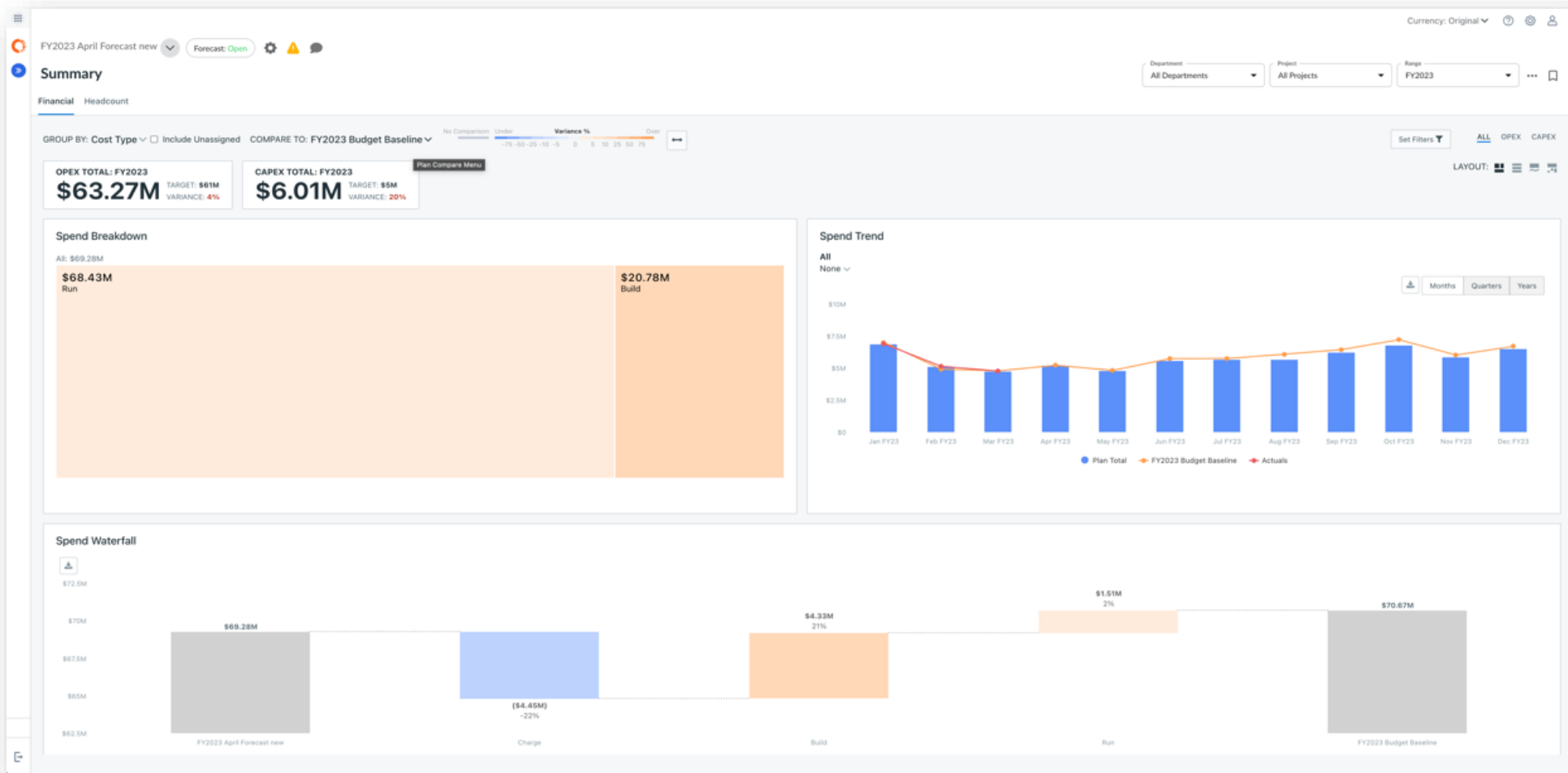
Optimize and accelerate technology forecasting and budgeting

 Collaborative Financial Planning & Forecasting	 Accelerate budgeting and forecasting cycles	 Customizable reporting and analytics	 Manage vendor contracts and fixed assets
 Conduct variance analysis	 Make informed labor decisions	 Automate continuous planning cycles	

Collaborative Financial Planning & Forecasting

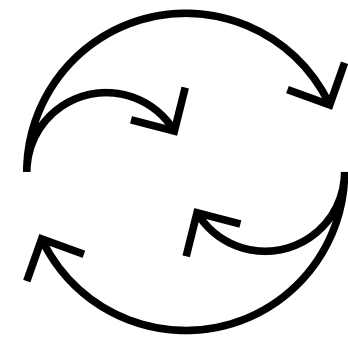


- Internal and external labor, infrastructure, vendor, or any additional expenses that are associated with projects/value streams can be planned from both a change and run perspective
- Gain a complete picture of the project's Total Cost of Ownership
- Optimize technology charge and run planning with an improved cost delegation model



Project	Cost Type	Project Labor Role	Resource	Project Labor...	Activity Type	Charge Account	Monthly ...	FY23 < Q1 FY23 <	Jan FY23	Feb FY23	Mar FY23	Q1 FY23	Q2 FY Apr FY
☐ Boston Server Expansion	Build	Contract - QA	Pete Jones	72.00	CapEx (External)	Capitalized External Labor	160.00	160	160	160	160	480	160
☐ Boston Server Expansion	Run	Contract - QA	Pete Jones	72.00	CapEx	Capitalized Internal Labor	160.00	160	160	160	160	480	160
☐ Compliance & Data Privacy Protection	Build	Contract - Dev		102.00	OpEx (External)	Contract Tech labor	160.00	0	0	160	160	160	160
☐ Customer Care Enhancements Ph 2	Build	Contract - Dev		102.00	OpEx (External)	Contract Tech labor	160.00	160	160	160	160	480	160
☐ Regulatory Compliance Ph 3	Build	Contract - Dev		102.00	OpEx (External)	Contract Tech labor	160.00	160	160	160	160	480	160
☐ Regulatory Compliance Ph 4	Build	Contract - Dev		102.00	OpEx (External)	Contract Tech labor	160.00	160	160	160	160	480	160
☐ Regulatory Compliance Ph 4	Build	Contract - Dev		102.00	OpEx (External)	Contract Tech labor	160.00	160	160	160	160	480	160
☐ Salesforce.com Implementation	Build	Dev		120.00	OpEx	Salaries	160.00	0	0	0	0	0	0
☐ Salesforce.com Implementation	Build	Contract - Dev		102.00	OpEx (External)	Contract Tech labor	160.00	0	0	0	0	0	0
☐ Troux Implementation	Build	Contract - Dev	Steve Howard	102.00	OpEx (External)	Contract Tech labor	160.00	0	0	0	0	0	0
								960	960	1,120	3,040	1,120	

Accelerate budgeting and forecasting cycles

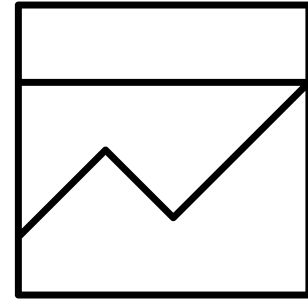


- Create and analyze plans, budgets, and forecasts for labor, assets, projects, and more across technology offerings
- Implement a structured view of IT expenses based on the industry-standard framework to allow for faster as-needed analysis
- Reduce time on manual data collection with automated data ingestion
- Conduct scenario planning and what-if analysis, allowing for rapid assessment of different outcomes
- Track, manage, and reduce budget variance against the plan across all teams
- Identify and shift resources to higher-value activities by connecting actuals to planned IT spend and identifying budget variances

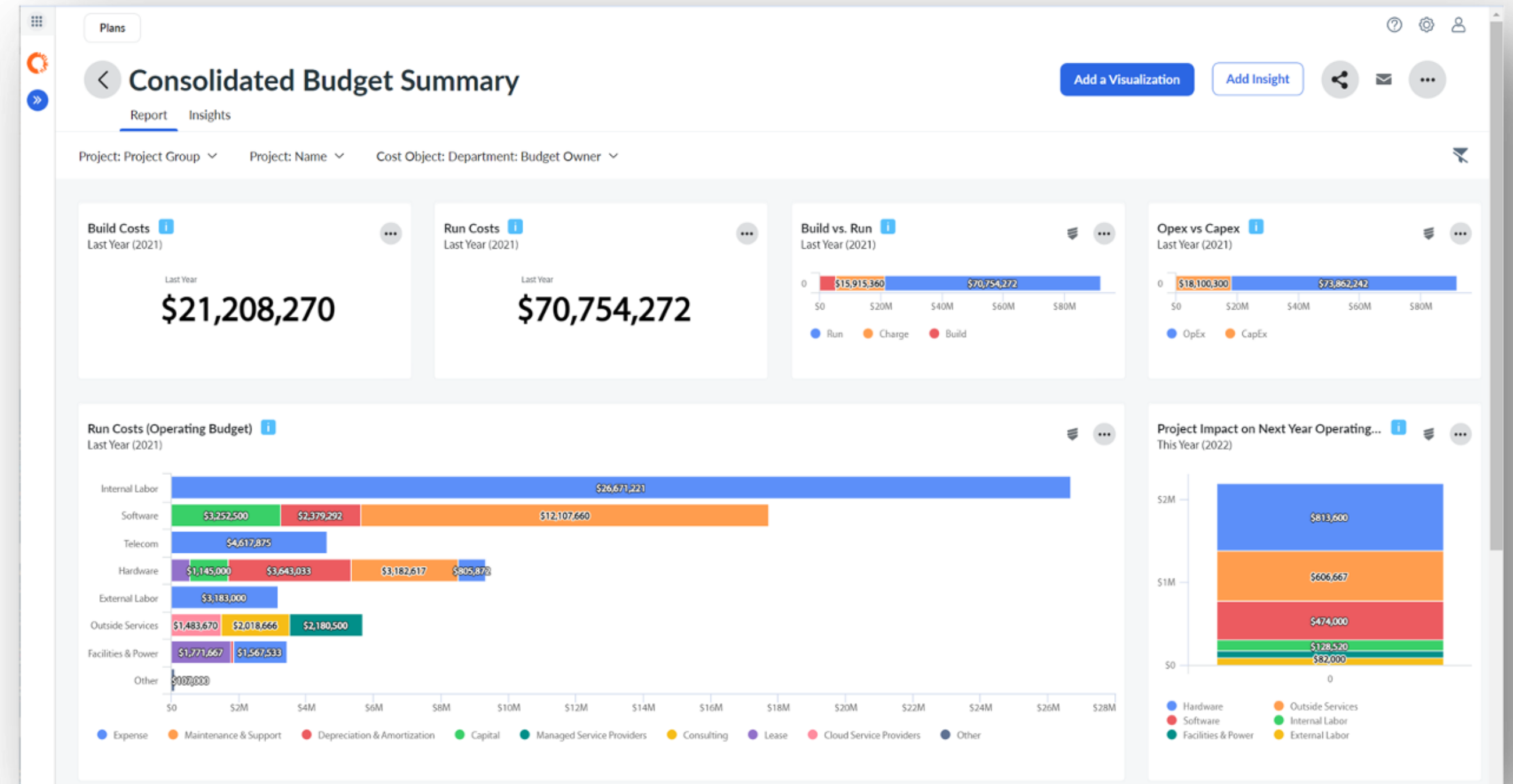
The screenshot displays a software interface for budgeting and forecasting. The main section is titled 'Expenses' and shows a table of data. The table has columns for Group, Account, Project, Vendor, Description, Currency, YTD FY23, FY23, and FY23 - FY2023 Budget Final. The data is organized into rows, with some rows expanded to show more details. On the right side, there is a sidebar with a 'Plan-level comments' section for 'FY2023 April Forecast new'. It includes a text input field for comments and a 'Visible to everyone' toggle. Below this, there is a comment from 'Ngoc Le' dated 'Mar 14, 2024 7:42 AM' with a text input field for a response and 'Cancel' and 'Save' buttons. The bottom right corner of the interface shows the version '1.0.18'.

Group	Account	Project	Vendor	Description	Currency	YTD FY23	FY23	FY23 - FY2023 Budget Final	Var	Var %	↑	FY23
External Labor	Contract Tech labor	ZenDesk Implementation	TDK Technologies	Zaida Beals	USD	1,290,030	17,749,986	20,020,899	(2,270,913)	-11%	6.68	
Facilities & Power	Janitorial Services	Web Build to Order for Custo...	Savvis	Leasehold Improvements-USC...	USD	473,947	2,440,472	2,290,900	149,572	7%	2.29	
Hardware	Telecommunications Equipment	ZenDesk Implementation	VMWare	Sun LDAP License True Up	USD	1,895,972	9,158,691	8,987,861	170,830	2%	7.59	
Internal Labor	Vacation Accrued	ZenDesk Implementation	Oracle Services	Yajaira Toro	USD	5,207,082	28,136,225	33,107,545	(4,971,321)	-15%	21.0	
Other	Records & Retention	ZenDesk Implementation	Iron Mountain	QA	USD	30,991	(19,579,979)	(24,003,600)	4,423,621	18%	(1.6)	
Outside Services	Software as a Service	Workday Fin/HR Replacement	ZenDesk	VMs for dev and qa environme...	USD	2,439,590	10,360,179	11,137,573	(777,394)	-7%	13.5	
Software	Systems Software & Tools	Workday Fin/HR Replacement	Workday	VLA SQL USER CAL 2012, VLA...	USD	4,703,623	16,921,579	17,411,309	(489,730)	-3%	11.9	
Telecom	Long Distance Services		Verizon		USD	765,648	4,090,273	4,064,092	26,181	1%	4.06	

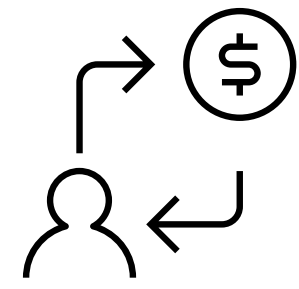
Customizable reporting and analytics



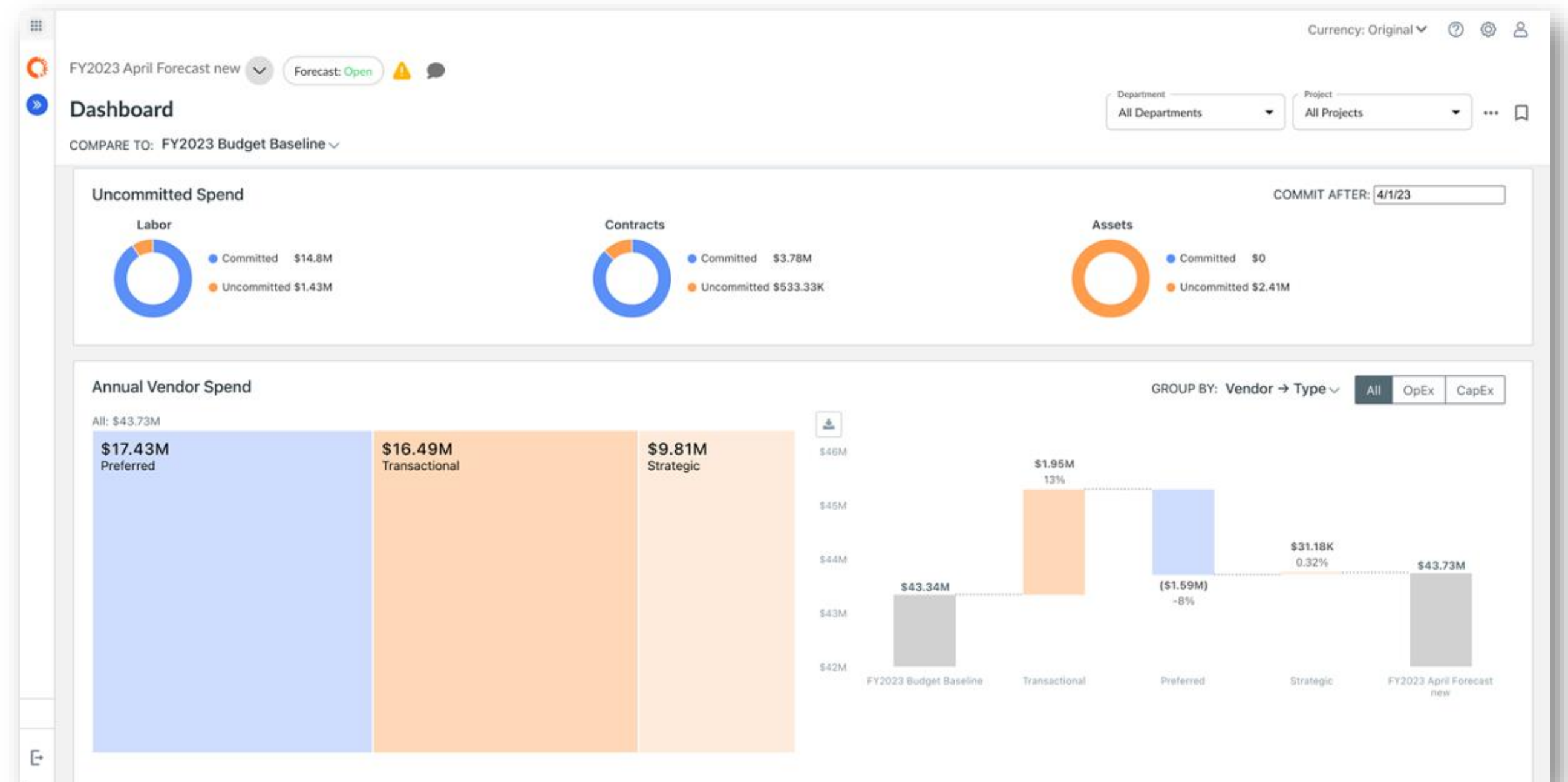
- Create and customize investment reporting
- Report on investment and departmental costs separately or combined
- Report on multi-year costs of investments with build and run costs
- Use pre-built Labor and Investment reports



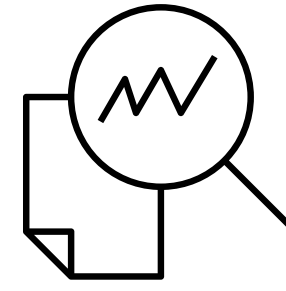
Manage vendor contracts and fixed assets



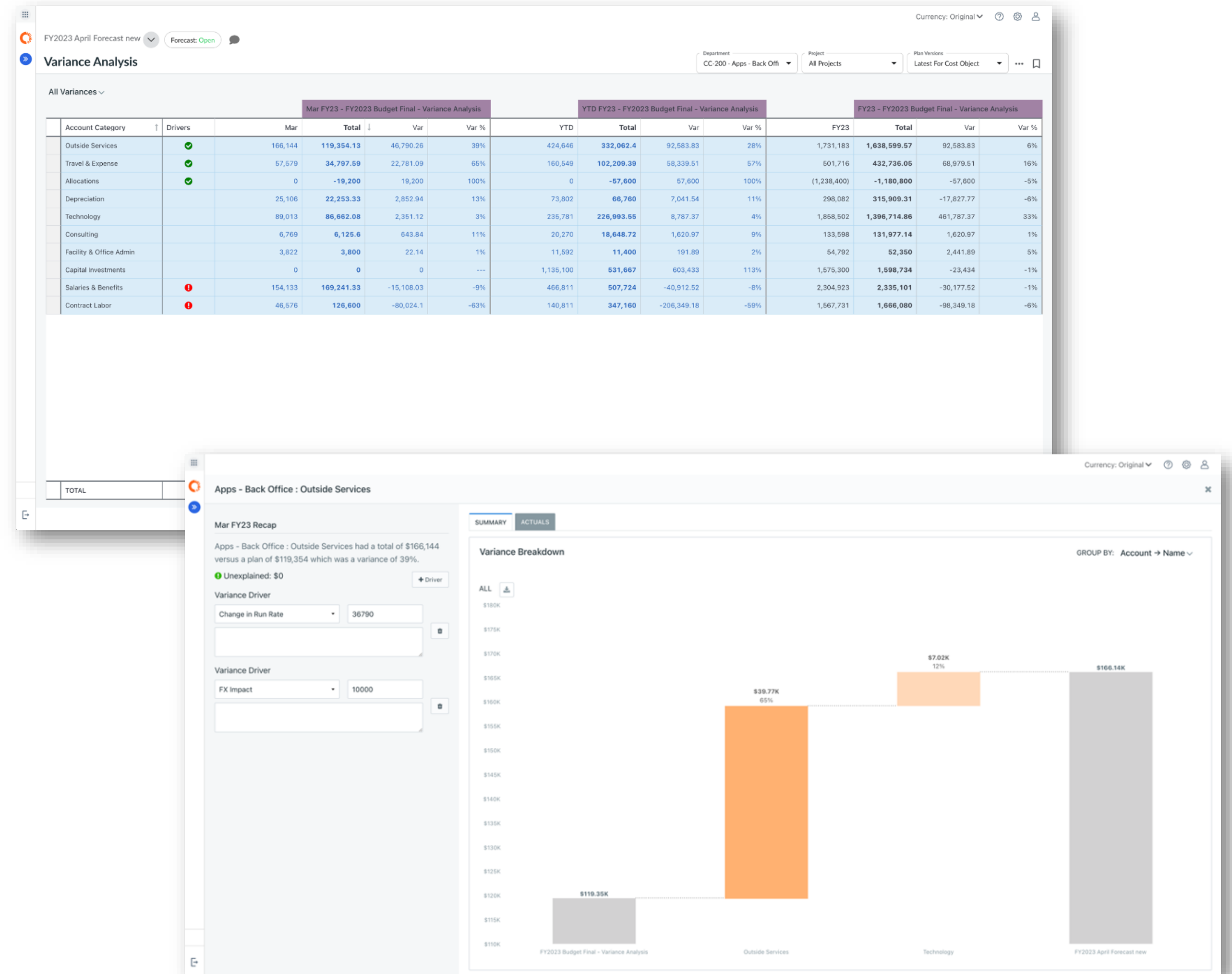
- Understand your current spend for each vendor as well as gaps to annual target spend
- Review and forecast your vendor portfolio to understand portfolio structure and identify (cost) optimization (e.g., consolidation) opportunities
- Understand the financial impact of vendors that support your project portfolio
- Understand how IT assets are being used to deliver value to the business units and users
- Ensure budget owners and Ops leaders spend are in line with the budget and the forecast



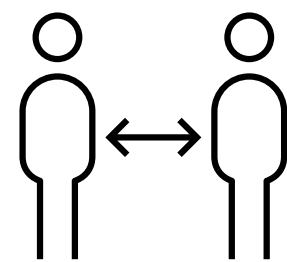
Conduct variance analysis for continuous improvement



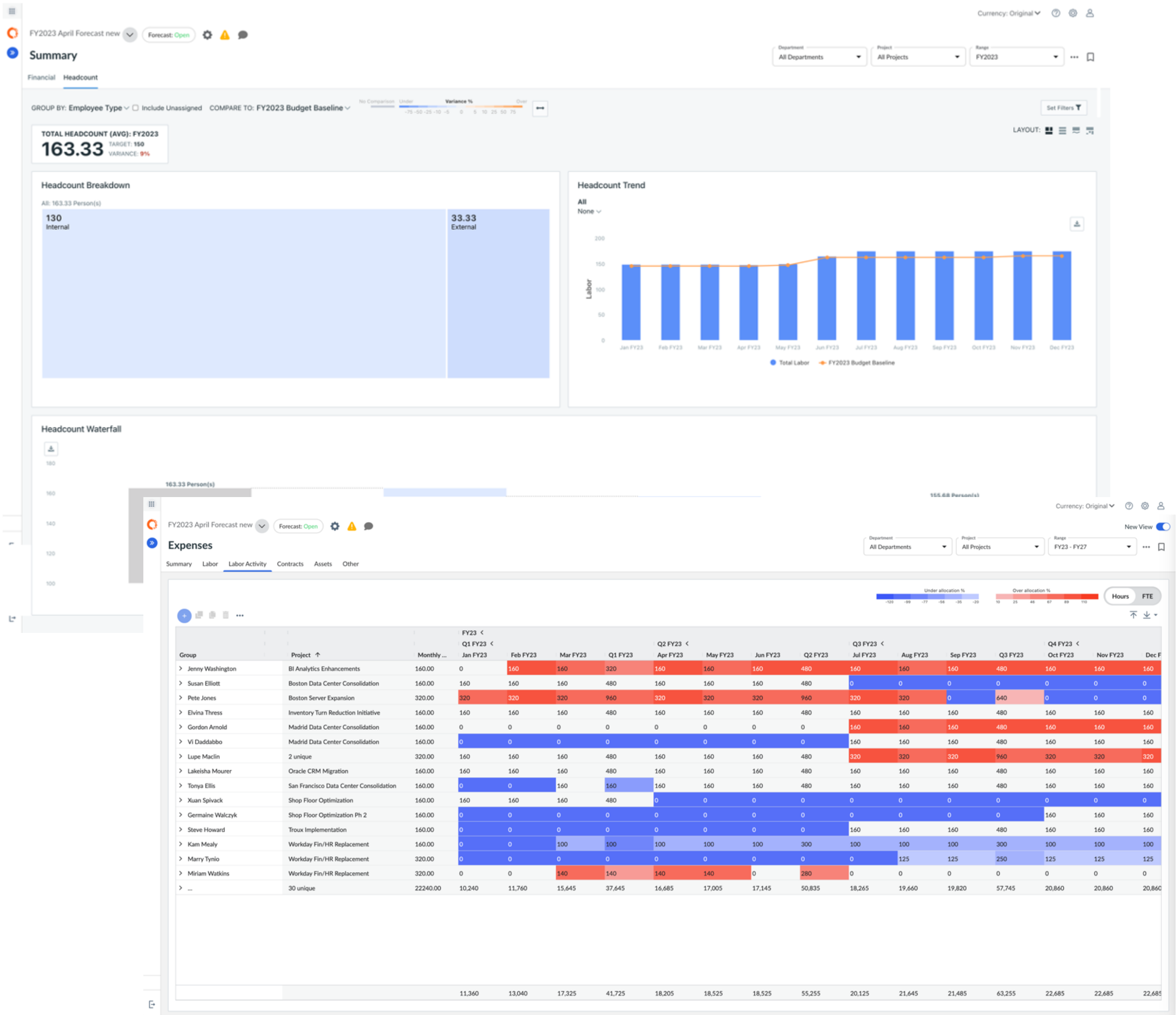
- Quickly analyze and understand variances
- Compare updated forecasts versus actuals and identify important differences
- Adjust investment strategies promptly, ensuring alignment with IT financial and operational goals
- Collaborate with stakeholders to understand the root cause and quickly lock in new projection
- Translate variance analysis into practical steps for decision-making
- Regularly review variances and understand their causes, identifying areas for improvement and fostering a proactive approach



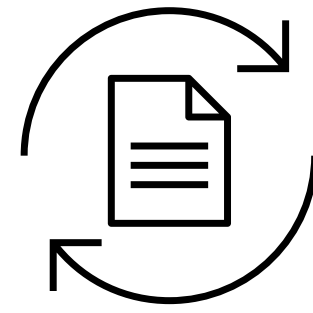
Make informed labor decisions



- Manage and analyze labor costs by employee type, role, location, and vendor
- Create and compare forecasts to evaluate the impact of labor decisions
- Analyze the composition of your workforce to optimize current and future funding allocations, ensuring efficiency and effectiveness
- Plan labor expenses by using rates and planned effort and allocate labor that uses named resources or roles
- Configurable cross-charge support for internal labor allocations to avoid double-counting of labor costs
- Flexible rate card support for internal resources and vendor-supplied resources



Automate continuous planning cycles



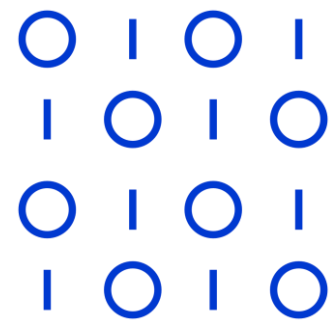
- Establish repeatable and accurate planning, budgeting and forecasting processes – reducing time spent by up to 75%
- Highlight material variances and document origin
- Make decisions to course correct, document, and adjust the forecast as needed
- A shift from annual or quarterly planning and forecasting to monthly (continuous) forecasting
- Analyze real-time insights, enabling more accurate and timely adjustments to budgets and forecasts

The screenshot shows a web application for planning and forecasting. The main area is a table titled 'Status' with columns for 'Cost Object', 'Owner(s)', 'Status', 'Last Action', and 'Actions'. The table lists various cost objects under different departments, such as 'All Departments', 'App Dev & Support', 'Apps - Back Office', 'Apps - Line of Business', 'Apps - Sales & Ops', 'Service Desk', 'Field Support - AP', 'Collaboration & Communication', 'Office of the CIO', 'Program Office', 'Info & Ops', 'Data Center Ops', 'Network Services', 'Voice and Call Center', 'Enterprise Campus & Storage', 'Operations Center', and 'Security & Risk Mgmt'. Each row shows the owner, status (e.g., 'In Progress', 'Approved', 'Submitted', 'Returned'), and the last action with a timestamp. On the right side, there is a sidebar with a 'Plan-level comment' section for 'FY2023 April Forecast new', showing a public comment by 'Nigel' dated 'Mar 04, 2024 1:42 AM' with the text 'Please provide more explanation why plan is 20% over budget'. Below the comment is a 'Reply' button. The bottom right corner of the interface shows 'version: 1.0.118'.

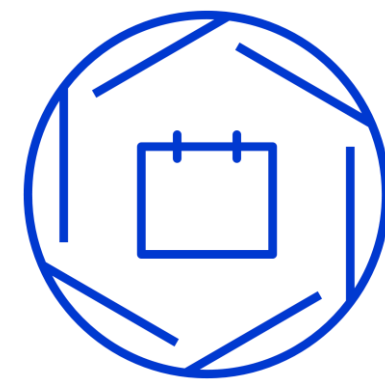
How IBM Apptio Planning Essentials helps

Key use cases

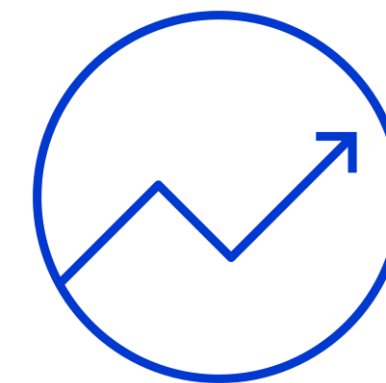
Process digitalization
& simplification



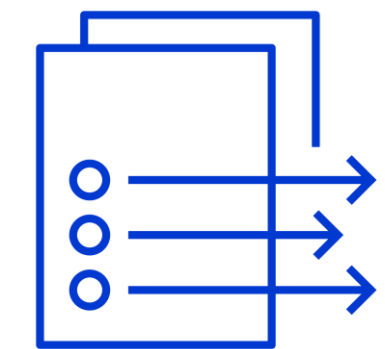
Budgeting or
planning



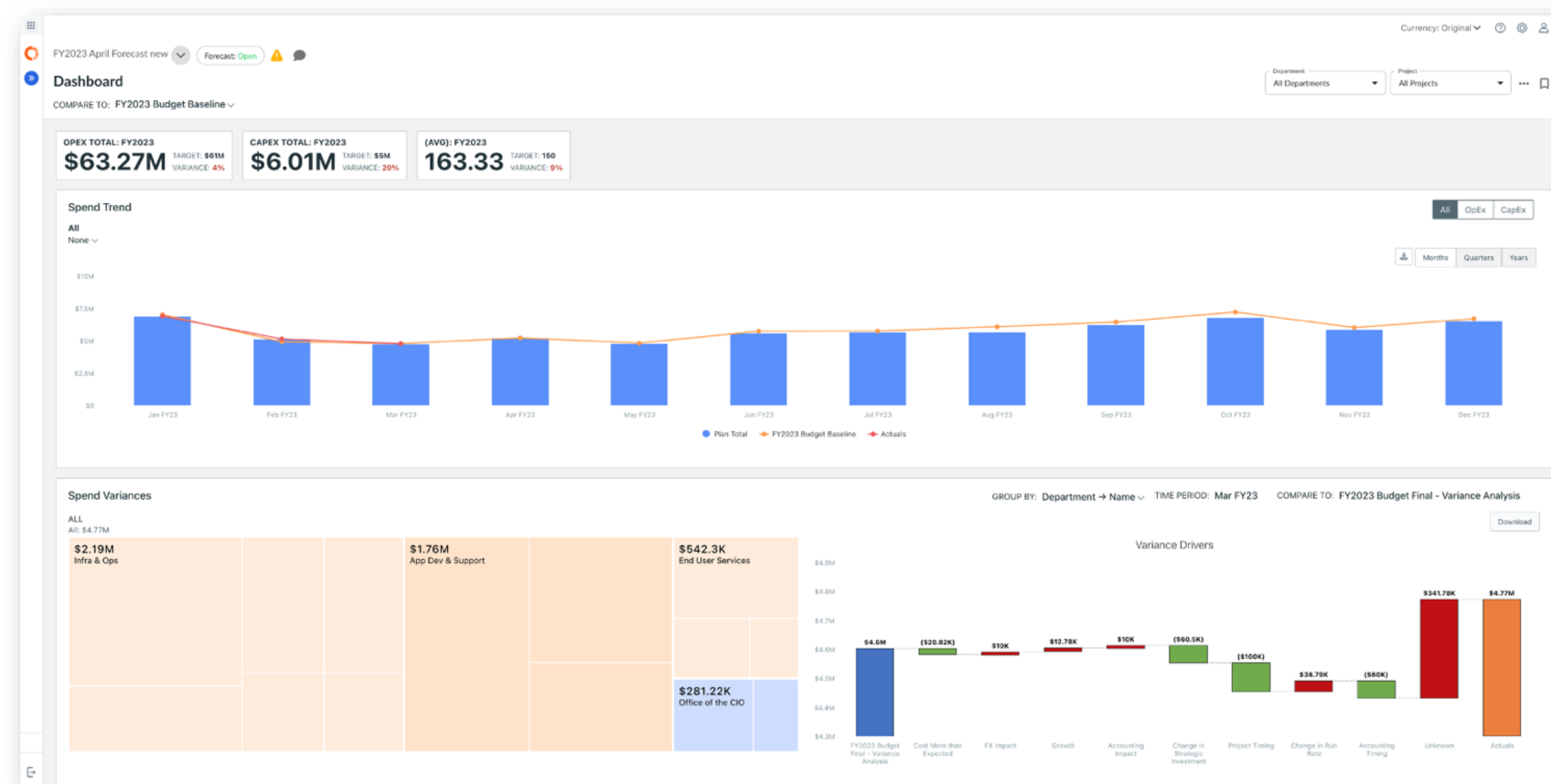
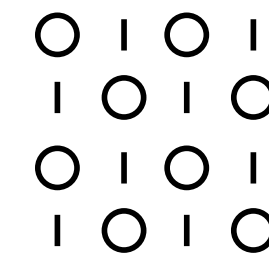
Re-forecast



Standardized
reporting

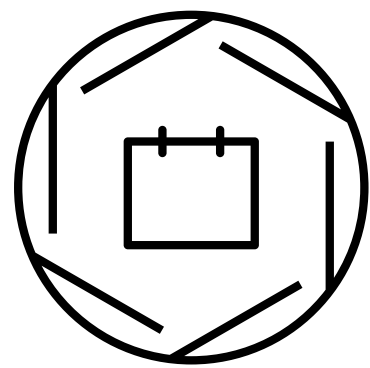


Process digitalization and simplification



- Streamline approval and coordination processes across teams
- Increase budget holder accountability and visibility into the process
- Reduce time taken for plan/budget/forecast activity and the associated analysis and validation of plan/budget/forecast
- Reduce budget variance by identifying variance drivers and improve budgeting accuracy
- Simplify ongoing data collection and administration (inclusion of reliable, repeatable headcount data)
- Incorporate actual expenses into budget planning to improve the accuracy of the budgeting process

Budgeting or planning



FY2023 April Forecast new | Forecast: Open | Currency: Original | New View

Expenses | Department: All Departments | Project: All Projects

OpEx: \$63.27M | CapEx: \$6.01M

Summary | Labor | Labor Activity | Contracts | Assets | Other

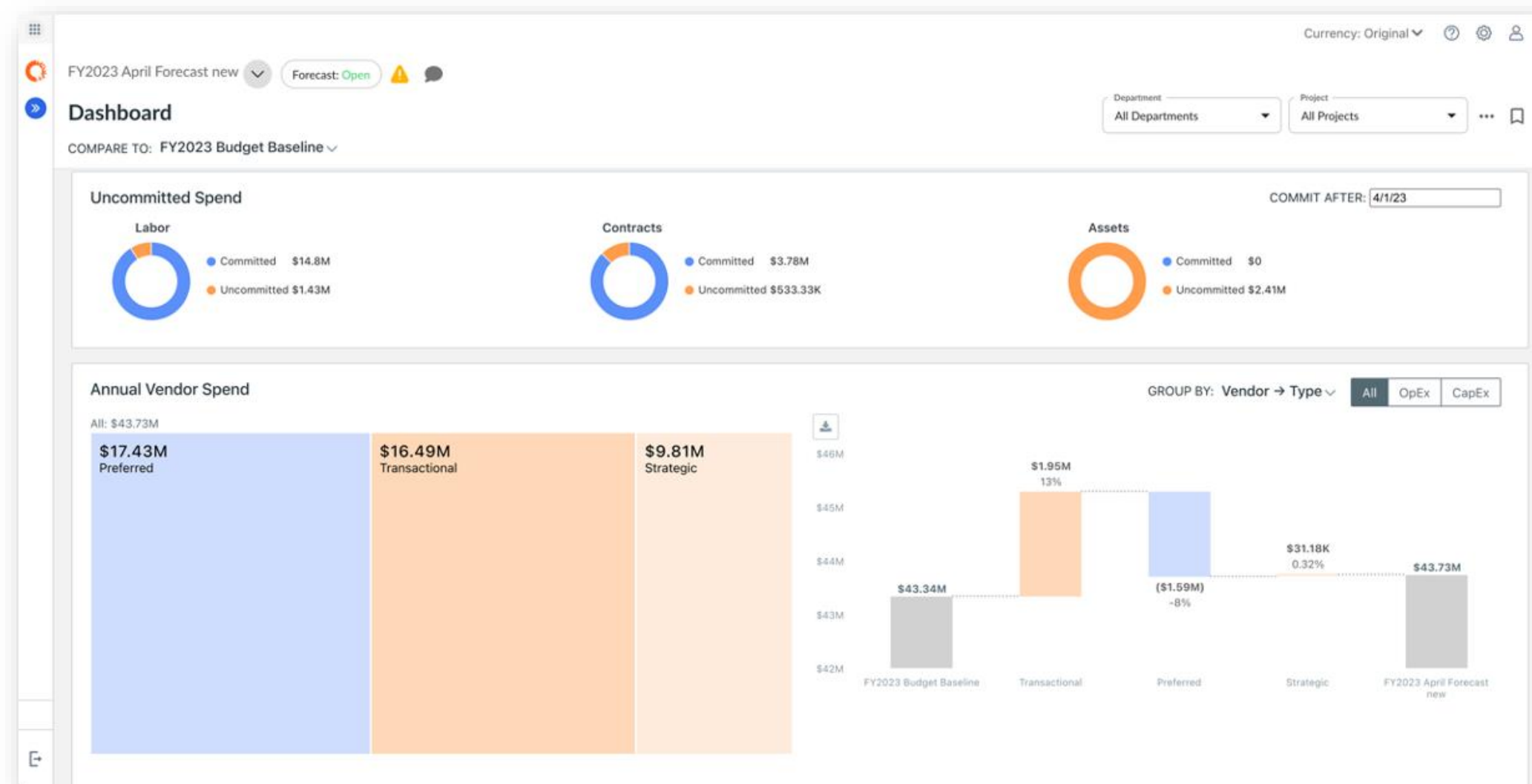
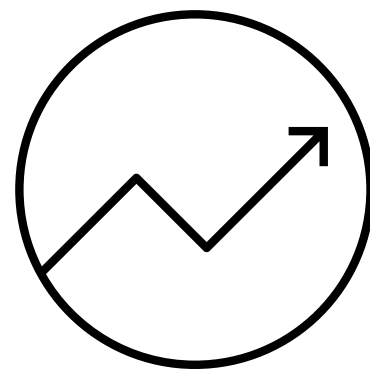
Account: Cost Pool

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version - 1.0.18

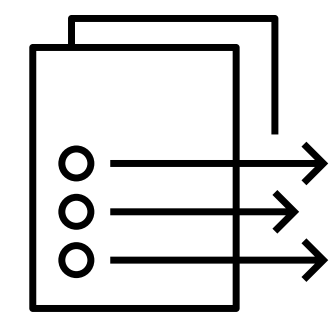
- Plan variance - monitor, identify, and understand net expense growth to reduce plan variance
- Plan-over-plan forecasting to understand and manage change rate
- Manage spend to plan and proactively manage spend to budget by identifying outliers and preventing overspend
- Incorporate actual expenses into budget planning to improve the accuracy of the budgeting process
- Create draft budgets based on last year's plan growth to drive business-focused budget conversations
- Compare budgets and plans across multiple versions or planned scenarios to consider the business impact and create a robust budget
- Categorize costs into CapEx and OpEx to gain a better understanding of planned operational and capital spend to track and manage

Re-forecast



- Understand and manage baseline expenses vs. investment expenses intra-year
- Understand and identify incremental YoY/Qtr/ MoM growth and drivers, and how these are moving intra-year
- Drive actionable replanning based on data and metrics gained from intra-year review(s) using actual expense to support re-forecasting
- Create and compare across multiple re-forecast scenarios to understand their impact on forecast accuracy and year-end position

Standardized reporting



FY2023 April Forecast new

Forecast: Open

Variance Analysis

Department

CC-200 - Apps - Back Off

Project

All Projects

Plan Versions

Latest For Cost Object

...

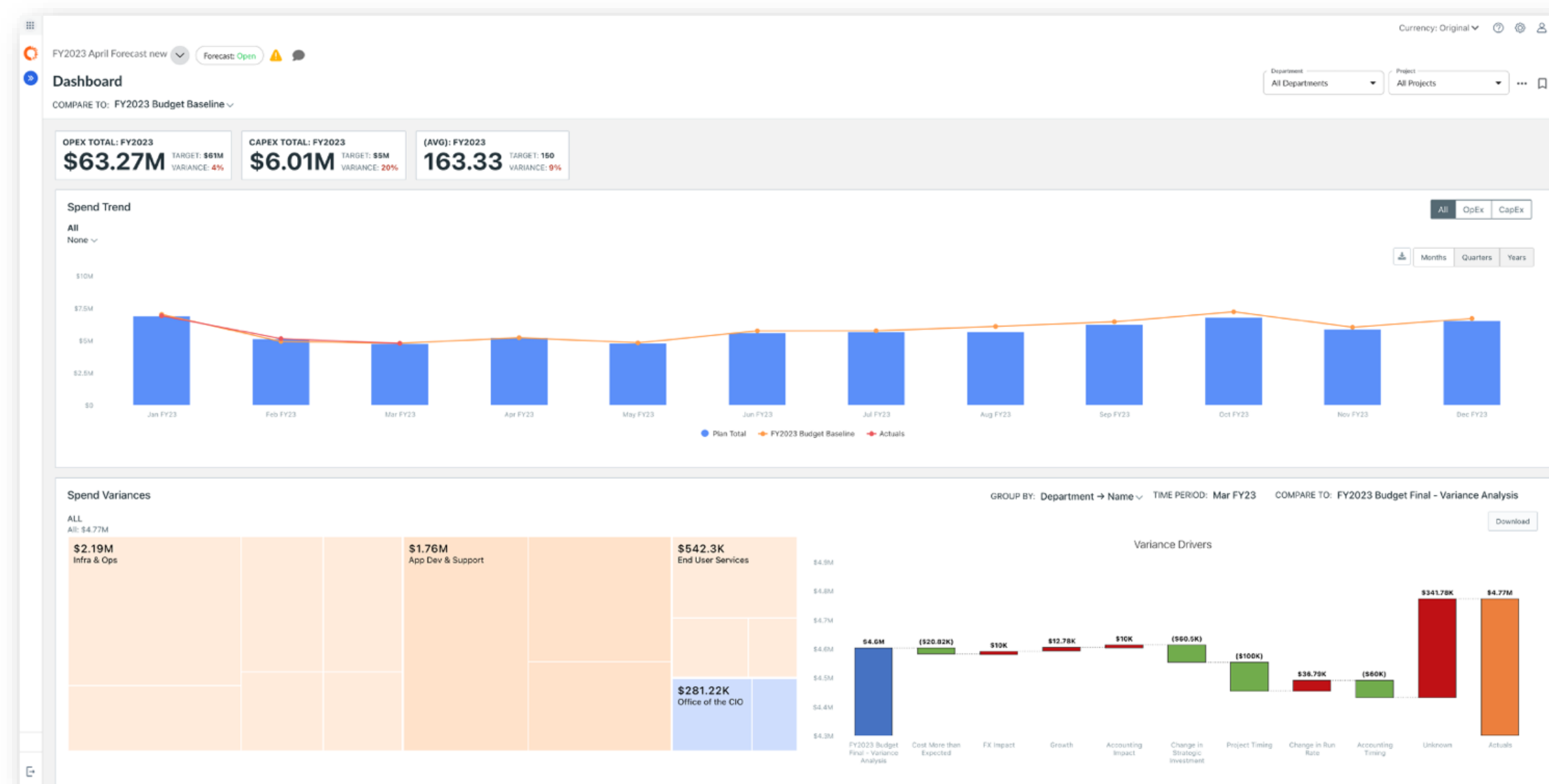
All Variances

Mar FY23 - FY2023 Budget Final - Variance Analysis														YTD FY23 - FY2023 Budget Final - Variance Analysis				FY23 - FY2023 Budget Final - Variance Analysis			
Account Category	Drivers	Mar	Total	Var	Var %	YTD	Total	Var	Var %	FY23	Total	Var	Var %								
Outside Services	✓	166,144	119,354.13	46,790.26	39%	424,646	332,062.4	92,583.83	28%	1,731,183	1,638,599.57	92,583.83	6%								
Travel & Expense	✓	57,579	34,797.59	22,781.09	65%	160,549	102,209.39	58,339.51	57%	501,716	432,736.05	68,979.51	16%								
Allocations	✓	0	-19,200	19,200	100%	0	-57,600	57,600	100%	(1,238,400)	-1,180,800	-57,600	-5%								
Depreciation		25,106	22,253.33	2,852.94	13%	73,802	66,760	7,041.54	11%	298,082	315,909.31	-17,827.77	-6%								
Technology		89,013	86,662.08	2,351.12	3%	235,781	226,993.55	8,787.37	4%	1,858,502	1,396,714.86	461,787.37	33%								
Consulting		6,769	6,125.6	643.84	11%	20,270	18,648.72	1,620.97	9%	133,598	131,977.14	1,620.97	1%								
Facility & Office Admin		3,822	3,800	22.14	1%	11,592	11,400	191.89	2%	54,792	52,350	2,441.89	5%								
Capital Investments		0	0	0	---	1,135,100	531,667	603,433	113%	1,575,300	1,598,734	-23,434	-1%								
Salaries & Benefits	!	154,133	169,241.33	-15,108.03	-9%	466,811	507,724	-40,912.52	-8%	2,304,923	2,335,101	-30,177.52	-1%								
Contract Labor	!	46,576	126,600	-80,024.1	-63%	140,811	347,160	-206,349.18	-59%	1,567,731	1,666,080	-98,349.18	-6%								
TOTAL		549,143	549,634	-491	0%	2,669,361	2,087,025	582,336	28%	8,787,427	8,387,402	400,025	5%								

- Conduct budget variance analysis on planned/budgeted costs to improve go foreword budgeting accuracy
- Review and report actual spend against budget and forecast to manage the budget variance and drive actionable change

Introducing IBM Apptio Planning Standard

Gain a *complete portfolio view* to strategically allocate and optimize resources



Unify project planning with budgeting and forecasting

Integrate project planning with financial budgeting and forecasting. Plan and forecast on a project basis, not just on a cost center or accounts

Build & Run cost planning

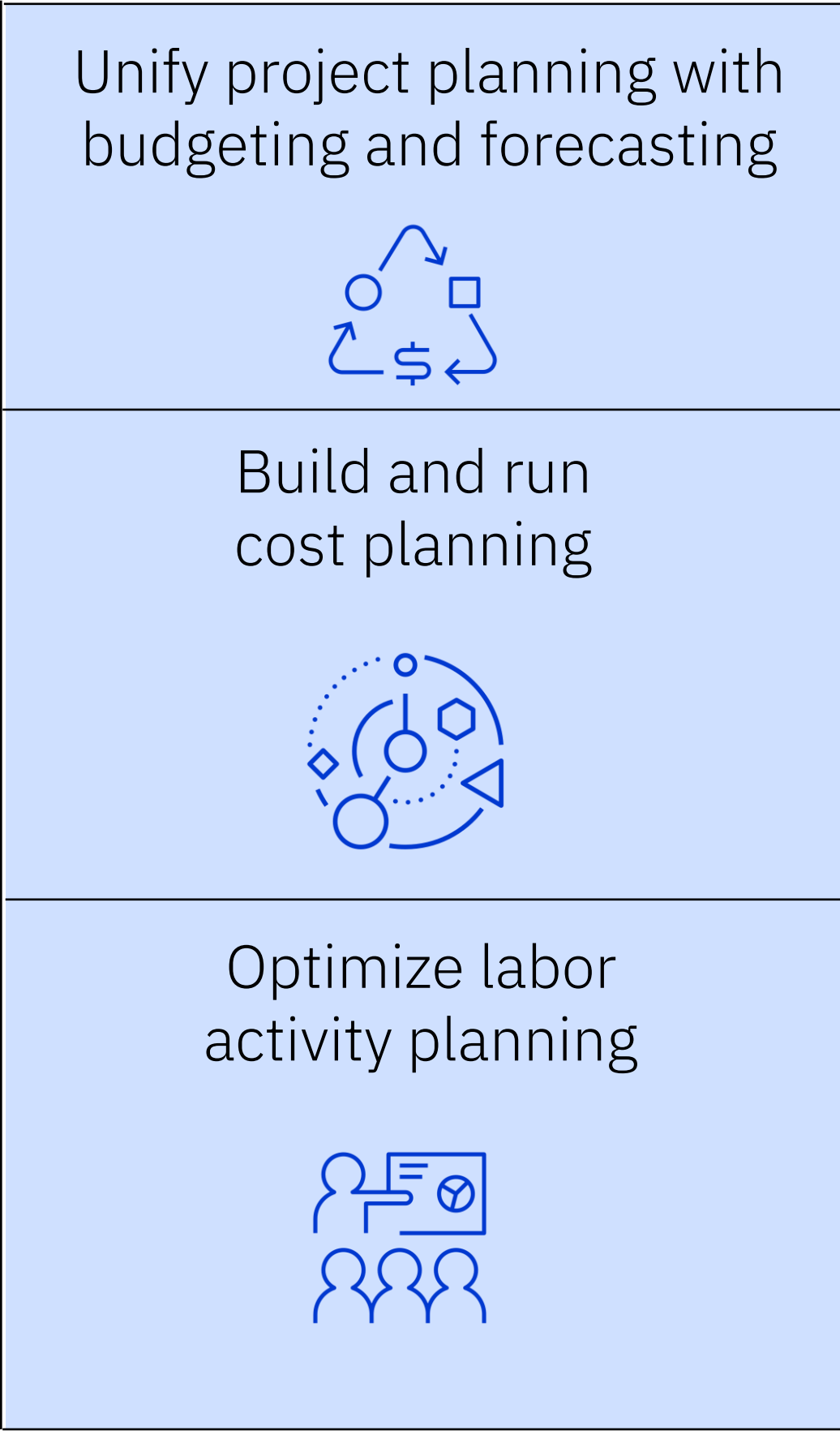
Complete view of project TCO by planning internal and external labor, infrastructure, and vendor expenses from Build and Run perspectives

Optimize labor activity planning

Optimize labor cost management by accurately planning and allocating resources by using detailed rate cards and role-based assignments

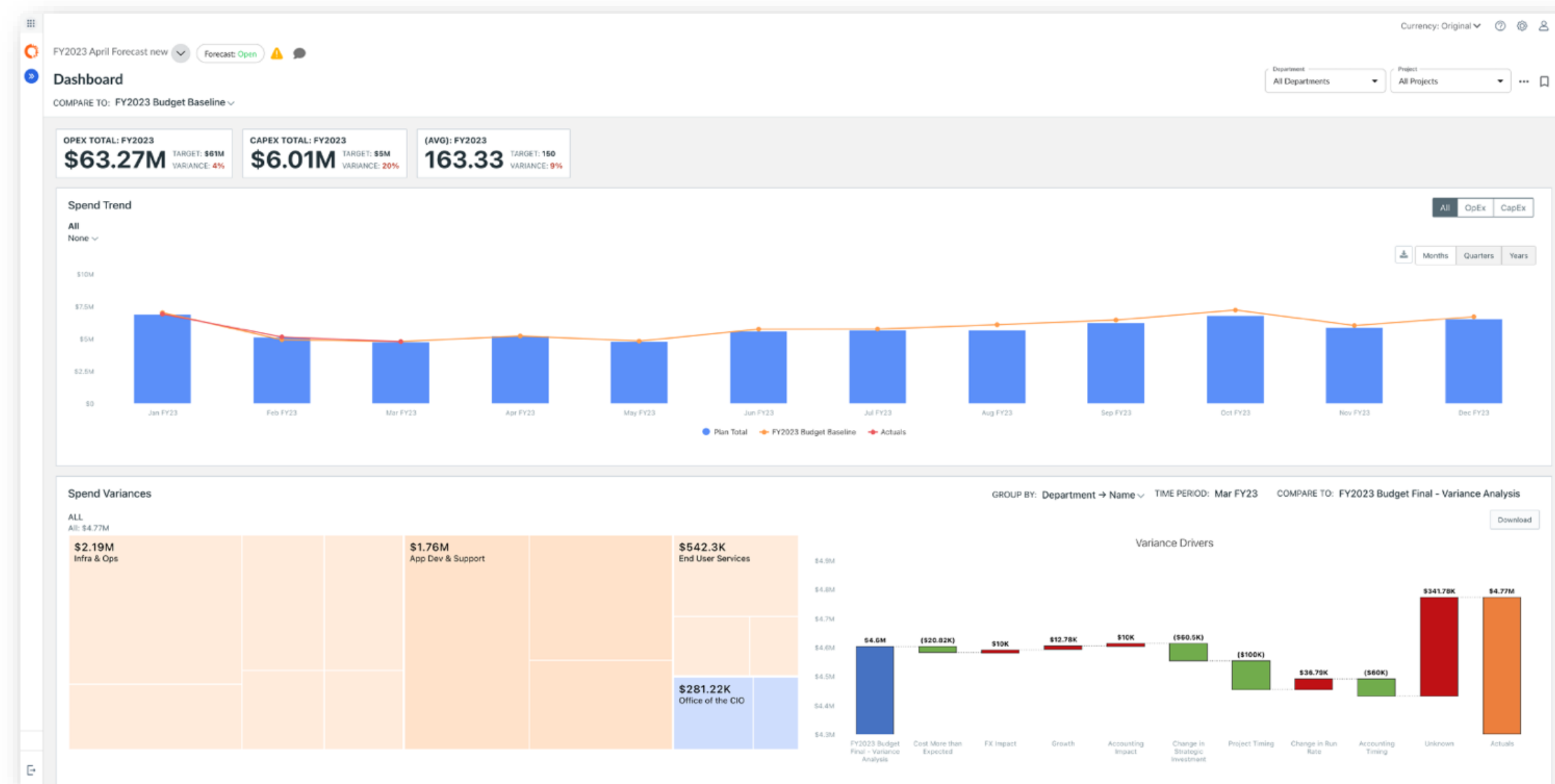
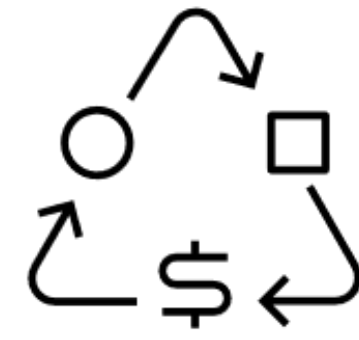
How IBM Apptio Planning Standard helps

Key use cases



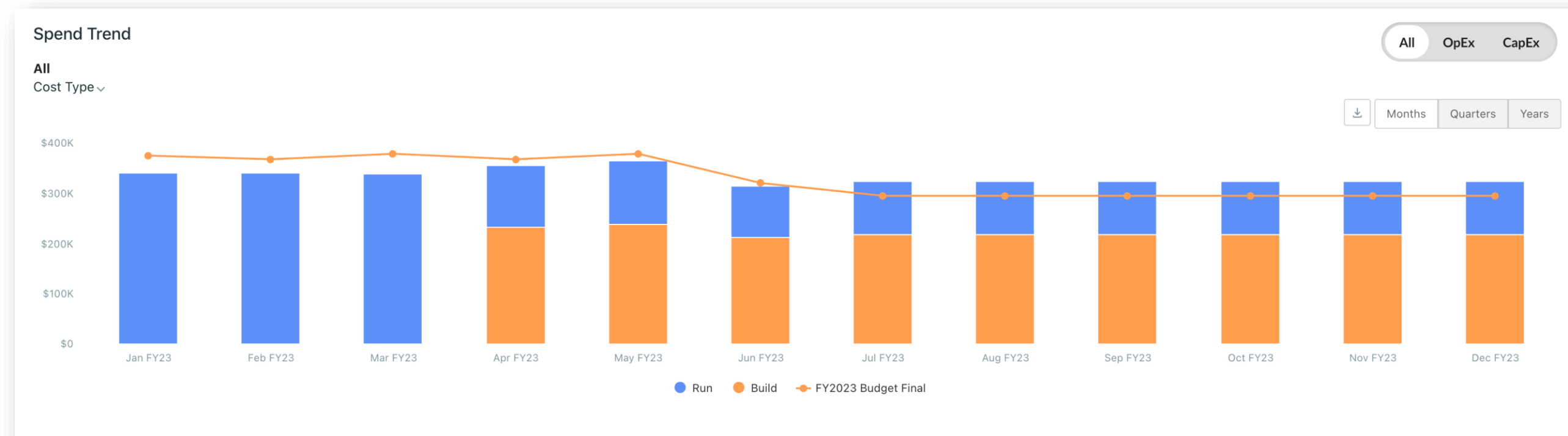
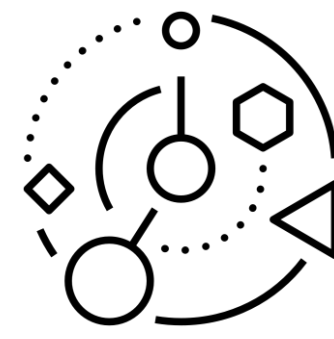
IBM Apptio Planning Essentials

Unify project planning with budgeting and forecasting



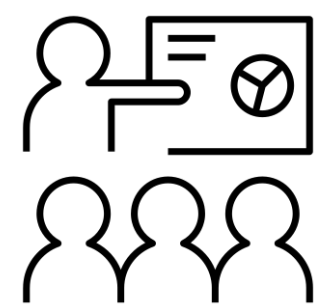
- Plan and forecast on a project basis
- Track and manage Build and Run costs across projects, including detailed labor, asset, and vendor expenses
- Adjust budgets in real-time as project needs evolve, helping ensure that financial plans stay aligned with project execution
- Access a single, consolidated view of all project-related financial data for streamlined management and reporting

Build and run cost planning



- Distinguish between change and run expenses across projects, products, and value streams from a comprehensive portfolio view
- Plan and track project costs independently of cost ownership
- Designate project-related costs as either Build or Run
- Delegate operational expenses associated with projects to the relevant cost centers

Optimize labor forecasting



FY2023 October ForecastForecast: Open⚙️⚠️💬

Expenses

SummaryLaborLabor ActivityContractsAssetsOther

DepartmentAll DepartmentsProjectAll ProjectsRangeFY2023

New View

HoursFTE

Project

Project	Project	Project Cost Center	Cost Type	Investment Labor Role	Project Labor R...	Resource Cost Center	Resource	Activity Type	Charge Account	
> Ops Center Expansion	Ops Center Expansion	Operations Center	Build	Contract - Dev	102.00			Opex	Project Labor	0
▼ ZenDesk Implementation	ZenDesk Implementation	Service Desk - NA	Build	Contract - Dev	102.00			Opex	Project Labor	0
	ZenDesk Implementation	Service Desk - NA	▼ Build	▼ Contract - Dev	▼ 102.00	▼		▼ Opex	▼ Project Labor	▼ 0
▼ Workday Fin/HR Replace...	Workday Fin/HR Replacement	Finance Projects	Build	3 unique	3.00	2 unique		Opex	Project Labor	0
	Workday Fin/HR Replacement	Finance Projects	▼ Build	▼ Dev	▼ 120.00	Apps - Back Office	▼	▼ Opex	▼ Project Labor	▼ 0
	Workday Fin/HR Replacement	Finance Projects	▼ Build	▼ Dev	▼ 120.00	Apps - Back Office	▼	▼ Opex	▼ Project Labor	▼ 0
	Workday Fin/HR Replacement	Finance Projects	▼ Build	▼ Contract - Dev	▼ 102.00		▼	▼ Opex	▼ Project Labor	▼ 0
	Workday Fin/HR Replacement	Finance Projects	▼ Build	▼ QA	▼ 85.00	Apps - Back Office	▼	▼ Opex	▼ Project Labor	▼ 0
> Web Build to Order for Cu...	Web Build to Order for Customers	Mfg Projects	Build	Dev	120.00	Apps - Line of Business		Opex	Project Labor	0
> UK Call Center Expansion	UK Call Center Expansion	Sales & Marketing Projects	Build	2 unique	2.00	2 unique		Opex	Project Labor	0
> Troux Implementation	Troux Implementation	Data Center Ops	Build	2 unique	2.00			Opex	Project Labor	0
> Shop Floor Optimization P...	Shop Floor Optimization Ph 2	Mfg Projects	Build	Dev	120.00	Apps - Line of Business		Opex	Project Labor	40
> Shop Floor Optimization	Shop Floor Optimization	Mfg Projects	Build	2 unique	2.00	2 unique		Opex	Project Labor	0
> SAP Fin/HR Decommission	SAP Fin/HR Decommission	Internal Initiatives	Build	2 unique	2.00	2 unique		Opex	Project Labor	1,
> San Francisco LAN Tech R...	San Francisco LAN Tech Refresh	Network Services	Build	Contract - Dev	102.00			Opex	Project Labor	0
> San Francisco Data Center...	San Francisco Data Center Consolida...	Data Center Ops	Build	2 unique	2.00	2 unique		Opex	Project Labor	17
										3,

- Plan project labor expenses by using labor rates and planned effort (hours/days or FTEs)
- Allocate and assign labor to projects by using named resources or roles
- Avoid double-counting of project labor costs with configurable cross-charge support for internal labor allocations
- Flexible rate card support for internal resources and vendor-supplied resources



3 weeks to 2 days

budget roll-up time reduction

“As far as quick wins that we wanted to get with our implementation, the first was implementing IT Planning because that gave us the ability to budget like we've never been able to before. Time to roll up a budget from half a month to a month down to a matter of a couple of days.”¹

Dave Roush
AVP, Global Technology Business Management
QBE



30 - 50%

time saved on budget
changes and iterations

“The other day, someone was looking for some vendor information. Historically, this would have taken days to complete. It would have taken a number of excel formulas and VLOOKUPs, extracted data and verification. Whereas now, I can pull that information at the click of two buttons.”¹

Addison Paige
Director of IT Financial Operations
Northwell Health

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